Points to Remember

Line organisation: In this type of organisation, the authority flows from top to bottom in a concern. Line executives are the people who are directly involved in the basic activities of an organisation.

Types of Line organisation

1. Pure line organisation,
2. Departmental line organisation

Merits of Line organisation

1. Simple
2. Clear division of authority and responsibility
3. Unity of control
4. Speedy action
5. Flexibility.

Demerits of Line organisation

1. Lack of specialization
2. Over burdening of key men
3. Limited communication
4. Subjective approach

Line and Staff Organisation

A line and staff organisation is one where specialist advisers, in the role of functional managers, assist the line managers in the performance of their duties.

Merits of Line and Staff Organisation

1. Expert advice
2. Relief to line executives
3. Training of young staff executives

Demerits of Line and Staff Organisation

1. Confusion
2. Expertise not aided by authority
3. Centralization

Functional organisation

A functional organisation is one where the work is organised on the basis of specialization. In such an organisation, each specialist conveys his instructions direct to the line personnel, rather than through a formal chain of command.

Merits of Functional Organisation

1. Application of expert knowledge
2. Efficiency
3. Relief to line executives
4. Mass Production
5. Economy

Demerits of Functional Organisation

1. Complex relationships
2. Ineffective Coordination
3. Centralization

Organisational Chart

Organisation chart is a diagrammatical form for providing information about organisational relationships. Organisation charts can be divided into:

1. Master Charts
2. Supplementary Charts

Presentation of Organisation Chart

1. Vertical or top - down chart
2. Horizontal or left to right chart
3. Circular Chart

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